



Chapter 19

Nothing But Net: Practice Exam 2

If you've just finished the first practice exam and are planning on continuing to this practice exam, please thoroughly review the first exam first. Just like Practice Exam 1, this practice exam has 75 questions. For those of you who couldn't wait to take the second exam and bypassed the first one, I review the test basics here.

As in the real SIE exam, the questions in both practice exams are in random order. Please read carefully. You can limit your careless mistakes by focusing in on the key words. Zone in on the information you do need to know to answer the question and ignore the information that doesn't help you. I suggest reading the last sentence twice to make sure you know what the question's asking. You may use scrap paper and a basic calculator for figuring.

Mark your answers on the answer sheet provided in this chapter or on a separate piece of paper. As you're taking the exam, circle or highlight the questions that you find troublesome. After taking and grading the exam, look over the questions that you got wrong and the questions that you circled or highlighted. Review the test, retake all the questions that you circled or answered wrong, and make sure that you get them right this time. To simulate the real exam, try to finish this part in one hour and 45 minutes or less. Please resist the urge to look at the answers and explanations until you've finished the exam. You can check your answers and get detailed explanations in [Chapter 20](#). Good luck!

Practice Exam Part 2 Answer Sheet

- | | | | | |
|---|---|---|---|---|
| 1. ☐ A ☐ B ☐ C ☐ D | 16. ☐ A ☐ B ☐ C ☐ D | 31. ☐ A ☐ B ☐ C ☐ D | 46. ☐ A ☐ B ☐ C ☐ D | 61. ☐ A ☐ B ☐ C ☐ D |
| 2. ☐ A ☐ B ☐ C ☐ D | 17. ☐ A ☐ B ☐ C ☐ D | 32. ☐ A ☐ B ☐ C ☐ D | 47. ☐ A ☐ B ☐ C ☐ D | 62. ☐ A ☐ B ☐ C ☐ D |
| 3. ☐ A ☐ B ☐ C ☐ D | 18. ☐ A ☐ B ☐ C ☐ D | 33. ☐ A ☐ B ☐ C ☐ D | 48. ☐ A ☐ B ☐ C ☐ D | 63. ☐ A ☐ B ☐ C ☐ D |
| 4. ☐ A ☐ B ☐ C ☐ D | 19. ☐ A ☐ B ☐ C ☐ D | 34. ☐ A ☐ B ☐ C ☐ D | 49. ☐ A ☐ B ☐ C ☐ D | 64. ☐ A ☐ B ☐ C ☐ D |
| 5. ☐ A ☐ B ☐ C ☐ D | 20. ☐ A ☐ B ☐ C ☐ D | 35. ☐ A ☐ B ☐ C ☐ D | 50. ☐ A ☐ B ☐ C ☐ D | 65. ☐ A ☐ B ☐ C ☐ D |
| 6. ☐ A ☐ B ☐ C ☐ D | 21. ☐ A ☐ B ☐ C ☐ D | 36. ☐ A ☐ B ☐ C ☐ D | 51. ☐ A ☐ B ☐ C ☐ D | 66. ☐ A ☐ B ☐ C ☐ D |
| 7. ☐ A ☐ B ☐ C ☐ D | 22. ☐ A ☐ B ☐ C ☐ D | 37. ☐ A ☐ B ☐ C ☐ D | 52. ☐ A ☐ B ☐ C ☐ D | 67. ☐ A ☐ B ☐ C ☐ D |
| 8. ☐ A ☐ B ☐ C ☐ D | 23. ☐ A ☐ B ☐ C ☐ D | 38. ☐ A ☐ B ☐ C ☐ D | 53. ☐ A ☐ B ☐ C ☐ D | 68. ☐ A ☐ B ☐ C ☐ D |
| 9. ☐ A ☐ B ☐ C ☐ D | 24. ☐ A ☐ B ☐ C ☐ D | 39. ☐ A ☐ B ☐ C ☐ D | 54. ☐ A ☐ B ☐ C ☐ D | 69. ☐ A ☐ B ☐ C ☐ D |
| 10. ☐ A ☐ B ☐ C ☐ D | 25. ☐ A ☐ B ☐ C ☐ D | 40. ☐ A ☐ B ☐ C ☐ D | 55. ☐ A ☐ B ☐ C ☐ D | 70. ☐ A ☐ B ☐ C ☐ D |
| 11. ☐ A ☐ B ☐ C ☐ D | 26. ☐ A ☐ B ☐ C ☐ D | 41. ☐ A ☐ B ☐ C ☐ D | 56. ☐ A ☐ B ☐ C ☐ D | 71. ☐ A ☐ B ☐ C ☐ D |
| 12. ☐ A ☐ B ☐ C ☐ D | 27. ☐ A ☐ B ☐ C ☐ D | 42. ☐ A ☐ B ☐ C ☐ D | 57. ☐ A ☐ B ☐ C ☐ D | 72. ☐ A ☐ B ☐ C ☐ D |
| 13. ☐ A ☐ B ☐ C ☐ D | 28. ☐ A ☐ B ☐ C ☐ D | 43. ☐ A ☐ B ☐ C ☐ D | 58. ☐ A ☐ B ☐ C ☐ D | 73. ☐ A ☐ B ☐ C ☐ D |
| 14. ☐ A ☐ B ☐ C ☐ D | 29. ☐ A ☐ B ☐ C ☐ D | 44. ☐ A ☐ B ☐ C ☐ D | 59. ☐ A ☐ B ☐ C ☐ D | 74. ☐ A ☐ B ☐ C ☐ D |
| 15. ☐ A ☐ B ☐ C ☐ D | 30. ☐ A ☐ B ☐ C ☐ D | 45. ☐ A ☐ B ☐ C ☐ D | 60. ☐ A ☐ B ☐ C ☐ D | 75. ☐ A ☐ B ☐ C ☐ D |

TIME: 1 hour and 45 minutes for 75 questions

DIRECTIONS: Choose the correct answer to each question. Then fill in the circle on your answer sheet that corresponds to the question number and the letter indicating your choice.

1. Mark Schwimmerr owns 2,500 shares of TP Corporation. Which of the following actions would dilute Mark's equity?

1. Primary share offerings (registered)
2. A stock split
3. Payment of a stock dividend
4. Secondary share offerings (registered)

(A) I only

(B) II only

(C) I, II, and IV

(D) I, II, III, and IV

2. Mike Smith is one of your clients. Mike is 55 years old, has a wife, two young adults going to college, and two children living at home. You have helped Mike determine his investment profile and how much risk he should be willing to take. However, Mike is hot on a particularly speculative security that doesn't fit his investment profile. Mike calls you saying he wants to purchase \$20,000 worth of this security. What should you do?

- (A)** Accept the order and mark it as unsolicited.
- (B)** Refuse the order because it doesn't fit his investment profile.
- (C)** Do nothing until talking to a principal.
- (D)** Limit Mike's exposure by making sure that he doesn't purchase more than \$5,000 worth of this speculative security.

3. An investor has a child who will be going to college in 15 years. Which of the following is a suitable investment?

- (A)** T-bills
- (B)** T-notes
- (C)** Treasury receipts
- (D)** AAAA aggressive growth fund

4. Which of the following statements is TRUE about revenue bonds?

- (A)** Their value is measured by the municipal project's capacity for generating revenue.
- (B)** They are secured by a mortgage-backed bond.

(C) They are a type of general obligation bond.

(D) They are subject to the statutory debt limitations of the issuing jurisdiction.

5. Which of the following is the balance sheet equation?

(A) assets = liabilities + shareholder's equity

(B) assets + liabilities = shareholder's equity

(C) shareholder's equity + assets = liabilities

(D) None of the above

6. Regarding the taxation of dividends from corporate securities, which TWO of the following are TRUE?

1. Qualified dividends are taxed at the investor's income tax rate.
2. Qualified dividends are taxed at a maximum rate of 15 percent.
3. Nonqualified dividends are taxed at the investor's tax rate.
4. Nonqualified dividends are taxed at a maximum rate of 15 percent.

(A) I and III

(B) I and IV

(C) II and III

(D) II and IV

7. Where can an investor find the most information about a new municipal issue?

(A) In a prospectus

(B) In an official statement

(C) In a tombstone ad

(D) In a registration statement

8. Which of the following statements made by a registered rep is not prohibited?

(A) “The stock will double in price.”

(B) “The earnings of the company will be better than expected.”

(C) “I can guarantee that you will not lose money on this stock.”

(D) “A research report shows that the company’s financial performance may be better than expected.”

9. Which two of the following are true of Roth IRAs?

1. Contributions are made from after-tax dollars.

2. Contributions are made from pretax dollars.

3. Distributions are tax-free.

4. Distributions are taxed on the amount above the amount of the contribution.

(A) I and III

(B) I and IV

(C) II and III

(D) II and IV

10. Which of the following are true of broker-dealer business continuity and disaster recovery plans?

1. They must be in written form.
2. Firms must have backup of data (both hard copies and electronic).
3. Firms must have some sort of alternative communication between the firm and its employees.
4. They must be approved by a principal.

(A) I, II, and III

(B) II, III, and IV

(C) I, II, and IV

(D) I, II, III, and IV

11. One of your clients wants to start adding some diversity to her portfolio by investing in mutual funds. Which of the following is the most important consideration when choosing a mutual fund?

(A) Whether the fund is load or no-load

(B) Management fees

(C) Investment objectives

(D) 12b1 fees

12. Common stockholders in a corporation can do which of the following?

(A) Elect the corporation's board of directors

(B) Make decisions about the day-to-day dealings, such as the office supply dealer used by the corporation

(C) Receive interest payments

(D) Expect to be paid par value for their stock if the corporation goes out of business

13. Which of the following investments are suitable for a 21-year-old investor who has limited resources but would like to start investing on a regular basis?

1. Growth funds
2. Raw land DPP
3. Call options
4. Hedge funds

(A) I only

(B) II and IV

(C) I, II, and III

(D) I, III, and IV

14. According to the Investment Adviser's Act of 1940, which of the following are considered investment advisers?

(A) Securities lawyers talking to clients about investments

(B) Economics professors giving investment advice to students

(C) Registered reps giving paid advice on investments

(D) All of the above

15. Which of the following statements is TRUE regarding municipal revenue bond issues?

- (A) The bonds are backed by the issuer's unlimited taxing power.
- (B) User fees provide revenue for bondholders.
- (C) The bonds' feasibility is not dependent on the earnings potential of the facility or project.
- (D) Revenue bonds are most suitable for investors with high risk tolerance.

16. Jameson and Johnson Securities sent Art a confirmation of his latest trade of Johnstone Corporation common stock. Which of the following items should be on the confirmation?

1. The trade date and the settlement date
2. Whether Jameson and Johnson acted as an agent or a principal
3. The name of the security and how many shares were traded
4. The amount of commission paid if Jameson and Johnson acted as an agent

- (A) I and III
- (B) I, II, and III
- (C) I, III, and IV
- (D) I, II, III, and IV

17. If a customer, Jessica James, decides to give limited power of attorney to her registered representative, which of the following is TRUE?

(A) The registered representative still needs verbal authorization from Jessica for each trade.

(B) Jessica must sign a power-of-attorney document.

(C) The registered representative must sign a power-of-attorney document.

(D) Jessica must initial each order before it is entered.

18. Which of the following is NOT a characteristic of a real estate investment trust (REIT)?

(A) Pass-through treatment of income only

(B) Pass-through treatment of income and losses

(C) At least 75 percent of the assets must be invested in real-estate-related projects

(D) Ownership of real property without management responsibility

19. A principal is responsible for approving new accounts opened for

1. individuals

2. corporations

3. banks

4. trusts

(A) I only

(B) I and II

(C) I, II, and III

(D) I, II, III, and IV

20. George Lincoln opens a margin account and signs a loan consent, hypothecation, and credit agreement. Which of the following statements are TRUE?

1. George's stock may not be kept in street name.
2. A portion of George's stock may be pledged for a loan.
3. George will be required to pay interest on the money borrowed.
4. George's stock must be cosigned by the broker/dealer.

(A) I and IV

(B) II and III

(C) I and II

(D) None of the above

21. To protect investors of variable life insurance policies who become disabled, there is a rider called a(n)

(A) disability rider

(B) waiver of premium

(C) early withdrawal rider

(D) none of the above

22. As a client's investment objectives change, a registered rep should keep track of those changes so that he can rebalance the client's portfolio and make proper recommendations. Which of the following changes may affect a customer's investment objectives?

1. Growing older
2. Getting divorced

3. Having triplets
4. Getting a higher paying job

(A) I and III

(B) I, II, and III

(C) II, III, and IV

(D) I, II, III, and IV

23. JKLM Corporation has declared a \$0.40 dividend payable to shareholders of record on Thursday, September 14. What would happen to the opening price of JKLM on Tuesday, September 12?

(A) It would be reduced by the amount of the dividend.

(B) It would remain the same.

(C) It would be increased by the amount of the dividend.

(D) Cannot be determined

24. Larry Eagle is a resident of Michigan. Mr. Eagle purchased a Michigan municipal bond. What is the tax treatment of the interest that Larry earns on his Michigan bond?

1. It is exempt from local taxes.
2. It is exempt from state taxes.
3. It is exempt from federal taxes.

(A) III only

(B) I and III

(C) II and III

(D) I, II, and III

25. Who is responsible for paying the taxes when securities in a Uniform Gifts to Minors Act (UGMA) account are sold at a profit?

(A) The minor

(B) The donor

(C) The custodian

(D) The parent or guardian

26. An investor wants to invest in a DPP that's relatively safe. Which of the following are you LEAST likely to recommend?

(A) A real-estate partnership that invests in raw land

(B) An oil and gas developmental program

(C) An oil and gas income program

(D) An equipment leasing program

27. Which of the following is a function of a transfer agent?

(A) Underwriting shares in new corporate stock offerings

(B) Preparing corporate balance sheets

(C) Advising municipalities regarding the debt structure of new issues

(D) Sending out proxies

28. All the following information is required on a preliminary prospectus EXCEPT

- (A) the final offering price
- (B) the purpose for which the issuer is raising the funds
- (C) a statement in red lettering stating that items on the preliminary prospectus are subject to change before the final prospectus is issued
- (D) the issuer's history and financial status

29. Which of the following situations requires a broker-dealer to file a currency transaction report?

- (A) A customer purchases \$20,000 worth of stock with a check from a joint account.
- (B) A customer opens an account with \$14,000 cash.
- (C) A customer opens an account with a wire transfer from his personal account for \$25,000.
- (D) A customer deposits corporate bonds with a par value of \$30,000.

30. A mutual fund has a NAV of \$9.30 and a POP of \$10. What is the sales charge of this fund?

- (A) 5 percent
- (B) 6 percent
- (C) 7 percent
- (D) 8 percent

31. Investments that move in the opposite direction of the economic cycles are known to be counter-cyclical. Historically, investments that are known to be counter-cyclical include

- (A) gold stock
- (B) utility stock
- (C) pharmaceutical stock
- (D) food company stock

32. On a competitive bid for a new municipal underwriting, the difference between the syndicate bid and the reoffering price is the

- (A) discount price
- (B) offering price
- (C) spread
- (D) bid price

33. If a customer wants to open a cash account at a brokerage firm, the signature(s) of which of the following is/are required?

1. The registered representative
2. The customer
3. The principal
4. The guarantor

- (A) IV only
- (B) I and III

(C) I, II, and III

(D) I, II, III, and IV

34. A sell stop order is entered

1. below the support level of the stock
2. above the resistance level of the stock
3. to limit the loss on a long stock position
4. to limit the loss on a short stock position

(A) I and III

(B) I and IV

(C) II and III

(D) II and IV

35. The indenture of a corporate bond includes all of the following EXCEPT

(A) the coupon rate

(B) the credit rating

(C) the name of the trustee

(D) the maturity date

36. Which of the following items can be found in the certificate of limited partnership?

1. The goals of the partnership and how long it's expected to last

2. The authority of the general partner to charge a fee for making management decisions for the partnership
3. How the profits are to be distributed
4. The amount contributed by each partner, plus future expected investments

(A) I, II, and III

(B) II, III, and IV

(C) I, III, and IV

(D) I, II, III, and IV

37. All the following securities may pay a dividend EXCEPT

(A) warrants

(B) common stock

(C) American depositary receipts (ADRs)

(D) participating preferred stock

38. Which of the following is/are true of a REIT?

1. It must invest at least 75 percent of its assets in real-estate-related activities.
2. It must be organized as a trust.
3. It must distribute at least 90 percent of its net investment income.
4. It must pass along losses to shareholders.

(A) I, II, III, and IV

(B) I, II, and III

(C) I only

(D) II and IV

39. An investor purchases 100 shares of DUD Corp. at \$45 per share and purchases 1 DUD Oct 40 put at 6. What is the customer's break-even point?

(A) 39

(B) 45

(C) 46

(D) 51

40. Under the Securities Act of 1933, which of the following securities are exempt from registration and disclosure provisions?

(A) Railroad equipment trust certificate

(B) Municipal bonds

(C) Commercial paper maturing in 270 days or less

(D) All of the above

41. One of your customers is interested in investing in an oil and gas limited partnership. As his registered rep, which of the following steps are you required to take?

1. Prescreen the customer.
2. Determine the economic soundness of the program.
3. Explain the risks of investing in limited partnerships.
4. Have your customer fill out a partnership agreement.

(A) I and III

(B) I, II, and III

(C) II, III, and IV

(D) I, II, III, and IV

42. Which of the following funds changes its balance to hold more fixed-income securities and less equity securities as the years pass?

(A) A balanced fund

(B) A hedge fund

(C) A life-cycle fund

(D) A growth fund

43. The first time a company ever issues securities is called a(n)

(A) IPO

(B) first-market trade

(C) rights offering

(D) None of the above

44. Bearish strategies include

1. selling short
2. buying put options
3. selling uncovered call options
4. selling covered call options

(A) I and IV

(B) II and IV

(C) I, II, and III

(D) I, II, and IV

45. One of your customers wants to add some diversity to his portfolio by investing in some defensive stocks. Which of the following stocks would you recommend?

1. CCCold Refrigerator Corporation common stock
2. Smoky Tobacco Inc. common stock
3. Forgetful Vodka Corp. common stock
4. ImpeeAuto Corporation common stock

(A) I and IV

(B) II and III

(C) I, III, and IV

(D) II, III, and IV

46. Mr. Smith has an inactive account with stocks and bonds at a broker-dealer. How often is the firm required to send Mr. Smith an account statement?

(A) Once a month

(B) Once a week

(C) Once every three months

(D) Once every six months

47. All the following orders are reduced on the order book for a cash dividend on the ex-date EXCEPT

- (A)** buy limit
- (B)** sell stop
- (C)** sell stop limit
- (D)** buy stop

48. All of the following impact the marketing of a municipal bond issue EXCEPT

- (A)** the rating
- (B)** the interest
- (C)** the date of maturity
- (D)** the dated date

49. An investor who purchases a variable life insurance policy faces which of the following risks?

- (A)** The insurance company may have to increase the premium if the securities held in the separate account underperform the market.
- (B)** The insurance company may decrease the premium if the securities held in the separate account outperform the market.
- (C)** The policy may have no cash value if the securities held in the separate account perform poorly.

(D) The death benefit may fall below the minimum in the event that the securities held in the separate account underperform.

50. All of the following are nonfinancial influences that may help determine an investor's investment profile EXCEPT

- (A)** the investor's age
- (B)** the amount of marketable securities the investor owns
- (C)** the number of dependents
- (D)** investment experience

51. Ginny Goldtrain is a wealthy investor who is in the highest income bracket. Ginny is looking for an investment that would limit her tax liability and put her on equal footing with investors in lower income-tax brackets. Which of the following securities would you MOST likely recommend?

- (A)** High-yield bonds
- (B)** CMOs
- (C)** Municipal bonds
- (D)** Hedge funds

52. Which of the following bonds most likely has the highest coupon rate?

- (A)** DEF Corp. mortgage bonds
- (B)** DEF Corp. collateral trusts

(C) DEF Corp. debentures

(D) DEF Corp. equipment trusts

53. Your client, Dana Griffin, is about to retire and she wants predictable income. Which of the following would NOT be a good investment for Dana?

1. AA rated IDB
2. U.S. Treasury note
3. AA rated debenture
4. Income bonds

(A) II only

(B) I and III

(C) II and IV

(D) IV only

54. Sal Gold is new to investing and wants to purchase a security that will provide him with current income with minimal risk. Which of the following are you LEAST likely to recommend?

(A) An income fund

(B) Treasury bonds

(C) An international fund

(D) AA rated municipal bonds

55. Which of the following is the issuer and guarantor of all listed options?

(A) The OCC

(B) The OAA

(C) The ODD

(D) The CBOE

56. If your customer, William Goate, purchases shares in a municipal bond fund, which of the following statements is TRUE?

(A) Dividends are subject to alternative minimum tax.

(B) Dividends are taxable to all investors.

(C) Capital gains distributions are taxable.

(D) Capital gains distributions are not taxable.

57. These municipal notes provide interim financing for a municipality that's waiting for a grant from the U.S. government.

(A) BANs

(B) TRANs

(C) GANs

(D) CLNs

58. Use the following exhibit to answer this question:

Balance Sheet of ABCD Corp.

Assets**Liabilities**

Cash	\$300,000	Accounts payable	\$300,000
Accounts receivable	\$1,500,000	Taxes payable	\$250,000
Inventory	\$1,200,000	Bonds maturing this year	\$800,000
Goodwill	\$2,000,000	Bonds maturing in 5 years	\$2,000,000
Machinery	\$1,500,000		
Land	\$5,000,000		

What is the net worth of ABCD Corporation?

- (A) \$3,150,000
- (B) \$1,650,000
- (C) \$8,150,000
- (D) \$10,150,000

59. One of the advantages of portfolio margin is that it allows

- (A) smaller investors the opportunity to purchase securities on margin
- (B) less sophisticated investors a chance to purchase securities on margin

(C) investors to avoid maintenance calls

(D) investors greater leverage

60. Which of the following statements regarding municipal bonds with call provisions is TRUE?

(A) Bonds are likely to be called when interest rates fall.

(B) Call provisions favor investors.

(C) Bonds are likely to be called when interest rates rise.

(D) Call provisions are not advantageous to issuers.

61. Sam Smith sends an email to his registered rep, John Johnson, complaining about the amount of commission he was charged on his last trade. According to FINRA rules, what should John Johnson do with the complaint?

(A) Ignore it because the complaint needs to be in writing

(B) Print it out and give it to his principal

(C) Print it out and send it to FINRA

(D) Forward it to FINRA's complaint department

62. All of the following are types of blue-sky registration EXCEPT

(A) registration by cooperation

(B) registration by coordination

(C) registration by qualification

(D) registration by filing

63. A TUV Oct 60 call is trading for 9 when TUV is at \$65. What is the time value of this option?

(A) 0

(B) 4

(C) 5

(D) 9

64. Which of the following need approval from a brokerage firm's principal?

1. New accounts
2. Recommendations
3. Handling of complaints
4. Trades in all accounts

(A) I and II

(B) I, III, and IV

(C) II, III, and IV

(D) I, II, III, and IV

65. Which of the following municipal bonds is backed by lease payments made by an underlying facility?

(A) IDR

(B) LTGO

(C) LRB

(D) BAB

66. All of the following are included on a confirmation for non-callable municipal bonds that were purchased on a yield basis EXCEPT

(A) the purchase price

(B) the par value

(C) the yield to maturity

(D) the taxable equivalent yield

67. A customer wants her registered representative to purchase a security that is incompatible with her investment objectives. What action should the registered representative take under FINRA rules?

(A) Enter the order and note that it was unsolicited.

(B) Enter the order only if the customer puts her request in writing.

(C) Obtain the approval of the firm's compliance officer before entering the order.

(D) The registered representative cannot enter the order.

68. Which of the following are money market securities?

(A) Commercial paper

(B) Treasury bonds

(C) American depositary receipts (ADRs)

(D) Warrants

69. Income derived from an investment in a real-estate limited partnership is termed

(A) earned income

(B) passive income

(C) portfolio income

(D) capital gains

70. What is the primary objective for an individual who invests in undeveloped land?

(A) Depletion deductions

(B) Depreciation deductions

(C) Appreciation potential

(D) Tax-deferred income

71. An investor purchased 1,000 shares of WXY at \$40. If WXY announces a 5-for-4 split, what is the investor's position after the split?

(A) 1,250 WXY at \$32

(B) 1,250 WXY at \$50

(C) 800 WXY at \$32

(D) 800 WXY at \$50

- 72.** The economic theory that supports controlling the money supply in order to stimulate economic growth is called
- (A)** the Federal Reserve Board
 - (B)** the Keynesian theory
 - (C)** supply-side economics
 - (D)** the monetarist theory
- 73.** Which of the following is characteristic of commercial paper?
- (A)** It is quoted as a percent of par.
 - (B)** It is proof of ownership of the corporation.
 - (C)** It is issued to raise capital for a corporation.
 - (D)** It is junior to convertible preferred stock.
- 74.** A mutual fund that invests only in securities within a specific industry is called a
- (A)** Balanced fund
 - (B)** Growth fund
 - (C)** Hedge fund
 - (D)** Sector fund
- 75.** At what time must an individual begin withdrawals from a Roth IRA?

- (A) At age 59½
- (B) At age 70½
- (C) On April 1 of the year after turning 70½
- (D) None of the above



